UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS
General Certificate of Education Ordinary Level

ECONOMICS **2281/01**

Paper 1 Multiple Choice **May/June 2008**

1 hour

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

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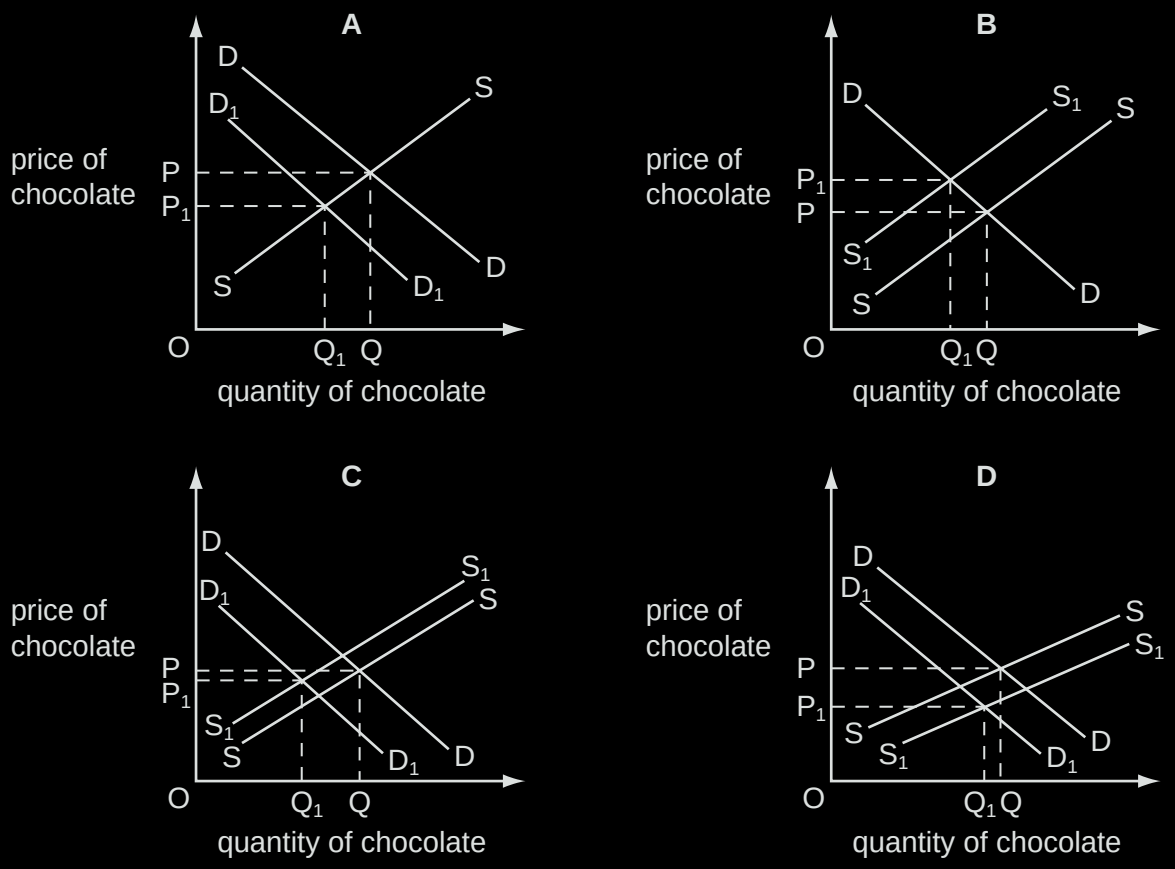
READ THESE INSTRUCTIONS FIRST

Write in soft pencil.
Do not use staples, paper clips, highlighters, glue or correction fluid.
Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

There are **forty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A**, **B**, **C** and **D**.
Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.
Any rough working should be done in this booklet.



12 What combination of events might cause a rise in the willingness and the ability of consumers to buy a product?

	price of a substitute product	tax rates
A	decrease	decrease
B	decrease	increase
C	increase	increase
D	increase	decrease

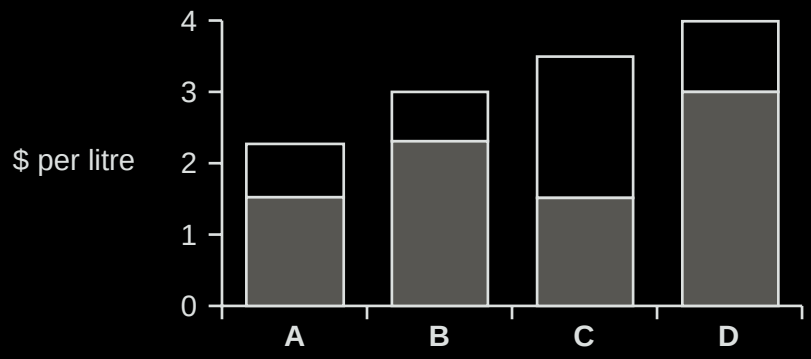
13 What could cause the demand for a product to become more price-elastic?

A a smaller proportion of income being spent on the product

B more substitutes coming onto the market

C the product becoming more of a necessity

D the product falling in price



27 What might a government increase if it wished to raise the growth rate of an economy?

A expenditure on road building

B goods and services tax (value added tax)

C the rate of income tax

D the rate of interest

28 What is meant by a regressive indirect tax?

A a tax on income that falls more heavily on the poor

B a tax on income that falls more heavily on the rich

C a tax on spending that falls more heavily on the poor

D a tax on spending that falls more heavily on the rich

29 What is likely to be an advantage of economic growth?

A The country's resources will be depleted.

B The price level will increase.

C The rate of employment will fall.

D The standard of living will increase.